

Chapter 3 — Utility, dilemmas, and consequences

Many projects create value only by using personal information

Learning objectives

- Explain the utility–privacy tension, describe two ethical dilemma patterns
- List consequences of ignoring ethics for people and organizations

Balancing utility and privacy

- Personalized care
- Treat statutes as floors rather than ceilings
- The ethical task is deciding whether proposed utility warrants the privacy burden at all

Example 3.7 — Utility–privacy tension in personal predictions

- Example 3.7 — hands-on module
- Example 3.7 states the trade-off in prediction settings
- Models that score health risk or creditworthiness can improve service allocation
- Without minimization, access control
- Explore the chapter example module
- View files: ``modules/chapter3/example7/``

Ethical dilemmas in practice

- Dilemmas arise when principles conflict or no option is clearly harm-free
- Example 3.8 sketches criminal-justice risk scores
- Example 3.9 returns to platform collection

Example 3.8 — Dilemma in criminal justice risk scores

- Example 3.8 — hands-on module
- The justice-system conflict previewed again in the bias section and Chapter 7
- More data alone does not dissolve the conflict
- Explore the chapter example module
- View files: ``modules/chapter3/example8/``

Consequences of neglecting ethics

- Ignoring ethics produces privacy violations, discrimination, eroded trust
- Example 3.10 shows personal exposure after unauthorized use or leakage, fraud, harassment

Example 3.10 — Misuse of personal data

- Example 3.10 — hands-on module
- Example 3.10 connects ethical neglect to breach economics developed later in the chapter
- Organizations also face fines, litigation
- Ethical practice is both a moral and a sustainability requirement
- View files: ``modules/chapter3/example10/``

Takeaways

- Utility and privacy trade off by design, not by accident
- Dilemmas need structured decision procedures, not silent defaults
- Neglecting ethics harms people first and balance sheets second

Next

- Complete the quiz for this part
- Continue to data privacy principles, consent, anonymization